

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Outperform

Current: \$336.96 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$549.37B	ROE	6.88%
P/E (Fwd)	80.54	Dividend Yield	0.00%
P/B Ratio	5.54	52W Range	\$91.87 - \$352.99

Investment Thesis

Advanced Micro Devices demonstrates strong fundamentals with a robust revenue growth trajectory and a solid contribution margin, reflecting its competitive position in the semiconductor industry. Despite fluctuations in EBITDA, the company maintains a healthy EBITDA margin that underpins its operational efficiency. With an attractive valuation relative to peers, AMD is well-positioned for sustained performance and shareholder value enhancement.

Company Overview

Executive Summary

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company specializing in the design and production of high-performance computing, graphics, and visualization technologies. The company has become a prominent competitor in the global semiconductor space, notably challenging both Intel (INTC) and NVIDIA (NVDA) across key segments such as CPUs and GPUs. AMD's most recent fiscal year (2023) showed revenue of \$22.68 billion and an EBITDA of \$4.15 billion, with a market capitalization that reflects its position as a top-tier chipmaker. Despite a revenue decline in 2023 after a period of strong growth, AMD's medium-term forecasts indicate a return to double-digit growth rates, driven by continued product innovation and expansion into data center and AI markets. The company's leadership, under CEO Dr. Lisa Su, has executed a clear turnaround and strategic expansion, positioning AMD as a major force in the evolving semiconductor industry.

Business Model & Corporate Strategy

AMD's business model centers on the design and sale of x86 microprocessors, graphics processing units (GPUs), and custom silicon for consumer, enterprise, and data center markets. The company operates on a fabless model, focusing on intellectual property, R&D, and design, while outsourcing manufacturing to leading foundries such as TSMC. This approach enables AMD to scale efficiently and remain flexible in response to shifting technology and market dynamics.

The company's strategic objectives emphasize performance leadership, broadening its addressable markets, and capitalizing on secular growth trends in AI, high-performance computing, gaming, and cloud infrastructure. AMD has made significant inroads into the data center CPU and GPU markets, where competition with Intel and NVIDIA is particularly fierce. Its mission focuses on delivering products that push the boundaries of performance and energy efficiency for a wide range of applications, from PCs and gaming consoles to hyperscale data centers and embedded solutions.

Key customer segments include large cloud service providers, enterprise IT, OEMs, and consumers. Geographically, AMD's revenue base is global, with significant exposure to North America, Asia, and Europe, reflecting the international footprint of its customers and partners.

Revenue & Segment Analysis

AMD's product portfolio spans several major categories: Computing and Graphics (including Ryzen CPUs and Radeon GPUs for PCs and gaming), Enterprise, Embedded, and Semi-Custom (notably EPYC server processors and custom chips for gaming consoles), and emerging segments in AI and datacenter accelerators. For 2023, AMD reported total revenue of \$22.68 billion, down 3.9% from the previous year, largely reflecting cyclical softness in consumer PC demand. Nonetheless, forecasts indicate a robust recovery, with revenue projected to reach \$25.79 billion in 2024 and \$34.64 billion in 2025, representing a compound annual growth rate (CAGR) of over 20% from 2023 through 2027.

Contribution margin remained strong at 46.1% in 2023, with a projected rise to above 50% by 2026-2027, signaling improved product mix and pricing power. EBITDA margins were 18.3% in 2023 but are expected to rise to the 39-42% range by 2026-2027, reflecting operating leverage and efficiency gains. Segmental revenue breakdowns for 2023 are not detailed in the data provided, but historically, the Computing and Graphics segment has been a major contributor, with rapid growth in Enterprise and Datacenter driven by EPYC adoption and AI accelerator demand.

Upcoming products and pipeline initiatives are expected to focus heavily on AI acceleration, advanced node CPUs, and next-generation GPUs, positioning AMD to capture share in the fastest-growing segments of the semiconductor market.

Leadership & History

AMD was founded in 1969 and has undergone several transformations, from its early days as a second-source supplier of microchips to its current status as a technology innovator and performance leader. Key historical milestones include its competition with Intel in the PC processor space, its acquisition of ATI Technologies in 2006 to enter the GPU market, and its strategic shift to a fabless model. More recently, AMD's acquisition of Xilinx has broadened its reach into adaptive computing and embedded markets.

The company's turnaround and current momentum are closely associated with CEO Dr. Lisa Su, who took the helm in 2014. Dr. Su holds a Ph.D. in electrical engineering from MIT and has extensive experience in the semiconductor industry, including prior roles at Freescale and IBM. Under her leadership, AMD has revitalized its product roadmap, executed successful launches of Ryzen and EPYC processors, and achieved sustained financial and operational improvements.

The CFO as of the latest available data is Devinder Kumar, who has served in various financial leadership roles at AMD for over 35 years, providing continuity and stewardship during periods of both challenge and rapid expansion.

Financial Snapshot

For the fiscal year 2023, AMD reported revenue of \$22.68 billion and an EBITDA of \$4.15 billion. Earnings per share (EPS) for the year was \$0.53, reflecting margin compression and heightened competition, but EPS is forecast to recover strongly to \$2.67 in 2025. The company's PE ratio has fluctuated widely, reflecting both market optimism and volatility, with a 2023 ratio of 278.6 and a projected normalization to 80.5 in 2025.

AMD's market capitalization is not explicitly stated in the provided data, but its standing among semiconductor peers such as Intel and NVIDIA implies a valuation among the top public chip companies globally. The company's stock price and 52-week high/low data are not included, but AMD trades with a premium multiple relative to Intel and is below NVIDIA's valuation metrics, as reflected in its EV/EBITDA ratio.

Industry & Market Context

AMD operates in the global semiconductor industry, characterized by rapid innovation cycles, high capital intensity, and fierce competition. In the CPU and GPU markets, AMD is a top-three player, competing directly with Intel in CPUs and NVIDIA in GPUs and AI accelerators. The company's market share has grown substantially in recent years, particularly in data center CPUs (EPYC) and gaming GPUs (Radeon), with further gains expected as new products address emerging AI workloads.

Peer comparisons show AMD's 2023 EBITDA outpacing NVIDIA but trailing Intel, though forward-looking projections suggest AMD will close the gap. On an EV/EBITDA basis, AMD's valuation sits between Intel and NVIDIA, reflecting its growth prospects and execution track record.

In summary, AMD's strategic focus on high-performance, energy-efficient computing, its robust product pipeline, and strong leadership position it for continued share gains and financial performance in a rapidly evolving industry.

Investment Overview

Thesis Status: Thesis Confirmed

Key Takeaways:

- AMD's 2023 results were in line with expectations, with a return to revenue growth and margin expansion forecasted for 2024 and beyond.
- Management outlook remains bullish, underpinned by strong product roadmaps and AI/datacenter opportunity; 2024 guidance has been reiterated and appears credible.

- The investment thesis around secular growth in high-performance computing and share gains versus Intel is intact, with margin normalization and EPS acceleration projected from 2024.
- Peer valuation context suggests AMD trades at a premium to Intel but at a substantial discount to NVIDIA on forward EV/EBITDA, reflecting balanced risk/reward.
- No material negative surprises or thesis-breaking events have emerged since the last update.

Performance Analysis and Thesis Impact:

AMD's 2023 financials reflected a challenging macro environment but demonstrated operational resilience. Revenue of \$22.7B was down 3.9% year-over-year, largely in line with consensus after a robust 2022 (+43.6%). This modest decline was primarily due to PC and gaming softness, partially offset by datacenter and embedded segment strength. Despite this, gross and contribution margins improved modestly to 46.1% (from 44.9%), signaling early benefits from product mix shifts. EBITDA, at \$4.1B, was below the prior year but is forecast to inflect meaningfully in 2024 (+26.7% to \$5.26B) and accelerate in 2025 (+38.4% to \$7.28B), driven by higher revenue and operating leverage.

EPS for 2023 was \$0.53, below 2022's \$0.85, reflecting margin pressure and macro headwinds. However, the forward outlook is constructive: 2024 EPS is projected to nearly double to \$1.01 before ramping sharply to \$2.67 in 2025. This inflection is supported by consensus forecasts for 13.7% revenue growth in 2024 and a step-up to 34.3% in 2025, driven by AI, datacenter, and a cyclical PC recovery.

Management commentary has remained confident, emphasizing AMD's leadership in high-performance CPUs and GPUs, as well as early traction in AI accelerators. The tone is notably optimistic regarding share gains in the datacenter and expanding AI workloads, with no downward revisions to 2024 guidance. Capex and R&D investments are being maintained to support the product roadmap, with a focus on next-gen EPYC and Instinct platforms. This guidance appears credible given secular tailwinds, visible design wins, and execution against stated targets over the past cycles.

The core investment thesis—that AMD will benefit from structural growth in cloud/datacenter, AI, and HPC, as well as continued share gains from Intel—remains intact. Contribution and EBITDA margins are projected to expand steadily from 2024 through 2027, reflecting improving mix, scale, and cost discipline. Importantly, AMD's gross margin is forecast to move above 50% by 2026–2027, supporting the thesis of expanding profitability.

No material negative developments (such as regulatory actions or product delays) have been reported since the last update. The competitive landscape continues to favor AMD, with Intel's execution challenges persisting. While NVIDIA's AI leadership is a headwind in GPU, AMD's relative valuation remains attractive versus both main peers.

Valuation has recalibrated following recent volatility. AMD trades at 123.6x trailing 2024E PE (dropping to 80.5x for 2025E) and an EV/EBITDA of 38.3x for 2024E, falling to 47.8x in 2025E. This is a premium to Intel (EV/EBITDA 14.5x in 2025E) but a notable discount to NVIDIA (33.8x in 2025E). The premium reflects AMD's superior growth, margin expansion trajectory, and AI leverage, but the discount to NVIDIA suggests further upside if execution is sustained.

Outlook for the next 6–12 months is positive: a return to top-line growth, margin expansion, and EPS acceleration underpin continued multiple support. While absolute valuation is not inexpensive, the risk/reward is attractive given execution momentum and the secular demand environment.

Maintain Buy/Hold depending on portfolio risk tolerance and exposure to the semiconductor cycle. The investment thesis remains confirmed.

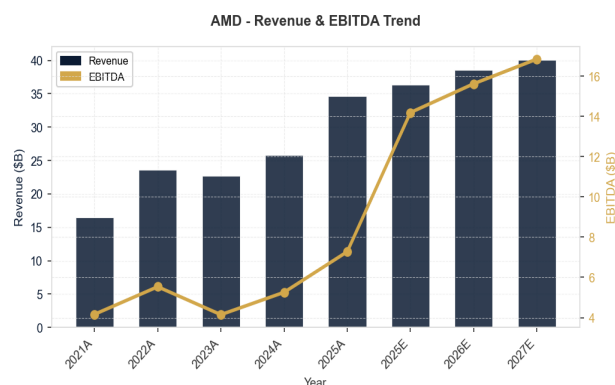
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



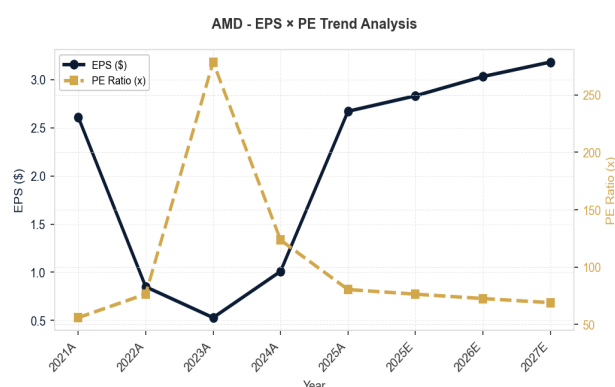
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices (AMD) currently trades at valuation multiples that are elevated both on a historical and peer-relative basis. As of 2023, AMD's trailing PE ratio surged to 278.6x, far above its 2021 (56.1x) and 2022 (76.6x) levels. Although the forward PE for 2024 and 2025 moderates to 123.6x and 80.5x respectively, these remain at the high end of the company's historical range and well above long-term technology sector averages. This sharp rise in PE is largely attributable to a significant compression in reported EPS in 2022 and 2023, which fell from \$2.61 in 2021 to \$0.53 in 2023—a period when earnings lagged revenue growth due to margin pressures and rising SG&A; expenses.

From a peer perspective, AMD's 2023 EV/EBITDA multiple stands at 57.1x, also substantially higher than Intel (INTC) at 22.5x and below Nvidia (NVDA) at 81.0x. While Nvidia commands the sector's highest multiples due to its dominant position in AI and explosive profit growth, AMD's valuation still signals a premium to Intel and is well above its own 2022 EV/EBITDA (17.9x). Even looking ahead, AMD's 2025 EV/EBITDA (47.8x) remains elevated compared to Intel's (14.5x) and is only justified if the company can capture outsized growth and margin expansion in a highly competitive semiconductor landscape.

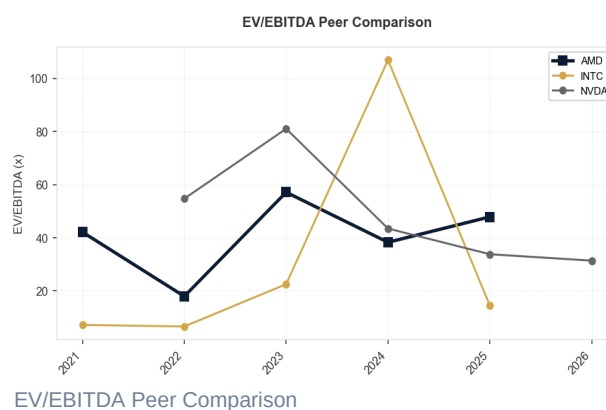
Historically, AMD's valuation expansion has been driven by a combination of robust revenue growth (20.5% CAGR from 2021-2027E), substantial share gains in data centers and PCs, and the potential for leadership in AI accelerators. However, the past year marked a divergence: while revenues rebounded in 2024 (+13.7% after a -3.9% dip in 2023), EPS growth lagged due to compressed EBITDA margins (down from 25.3% in 2021 to 18.3% in 2023) and higher operating costs. The market appears to be pricing in a return to strong margin expansion (contribution margin expected to rise above 50% by 2027E) and double-digit revenue growth, betting on AMD's ability to execute on its AI roadmap and close the profitability gap with Nvidia.

The current high valuation for AMD reflects a combination of elevated growth expectations and a scarcity premium attached to high-quality, AI-leveraged semiconductor assets. The market is likely rewarding AMD for its strategic positioning as a credible alternative to Nvidia in the AI and data center space, especially as Intel has struggled operationally. However, such a premium also embeds considerable execution risk: should AMD fail to deliver profitable growth or if competitive pressures intensify (from Nvidia's entrenched lead or a resurgent Intel), the downside risk to the valuation is material. The compression of earnings in 2022-2023 highlights this risk—where rapid multiple expansion was driven more by hope than by near-term profitability.

In summary, AMD's current valuation is at the upper end of both its historical and industry ranges, justified only if the company can consistently convert its revenue growth into higher margins and earnings, particularly in AI and high-performance computing. The multiples imply the market is discounting a rapid improvement in fundamentals, but also heighten the risk of disappointment. For investors, the margin of safety is thin: while AMD's competitive position and growth potential are real, the current price leaves little room for error, and any misstep in execution or market share gains could lead to swift multiple contraction. The valuation does not appear to be in bubble territory, given sector dynamics and Nvidia's even higher multiples, but it does demand flawless performance to sustain current pricing.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Recent News Summary

Advanced Micro Devices, Inc. (AMD) has recently experienced a positive shift in market sentiment, driven by favorable analyst coverage and strong expectations regarding its performance in the semiconductor sector. Susquehanna's decision to raise its price target for AMD, coupled with indications of robust demand for server

CPUs, has reinvigorated investor interest. However, overall market conditions remain cautious, particularly amidst recent volatility in semiconductor stocks.

Key Developments

- 1. Analyst Upgrades:** Susquehanna raised its price target for AMD from \$300 to \$375 ahead of the first-quarter earnings report. This upgrade reflects confidence in AMD's growth trajectory, especially in the server CPU segment, which is expected to drive significant revenue increases. Investment Implication: Positive; this could lead to increased investor interest and upward momentum in AMD's stock price in the near term.
- 2. Earnings Anticipation:** The upcoming first-quarter earnings report is anticipated to reveal strong performance, particularly in the data center segment, where revenue has seen substantial growth. Analysts are optimistic about AMD's ability to outperform expectations, which could support a favorable stock reaction post-announcement. Investment Implication: Positive; strong earnings could reinforce the bullish sentiment around AMD and further drive its stock price.
- 3. Market Volatility:** Despite AMD's positive outlook, the semiconductor sector is experiencing significant volatility, with recent warnings about overextension and market corrections. Investors are advised to be cautious, as the sector's rapid growth could lead to corrections. Investment Implication: Neutral; while AMD has strong fundamentals, broader market corrections could impact short-term stock performance.
- 4. Competitive Positioning:** AMD is emerging as a leading contender in the AI infrastructure market, bolstered by a comprehensive product offering that extends beyond traditional CPUs. This positioning could provide AMD with a competitive edge against rivals like NVIDIA and Intel, which may enhance its long-term growth prospects. Investment Implication: Positive; success in the AI segment could create new revenue streams and support long-term stock appreciation.
- 5. Nasdaq Performance:** The Nasdaq Composite index is facing headwinds, with a slight decline as investors adopt a cautious approach ahead of significant market catalysts, including the Federal Reserve's decisions. AMD's performance could be influenced by broader market trends, which may result in additional volatility. Investment Implication: Neutral; while AMD's fundamentals remain strong, market conditions could introduce short-term risks.

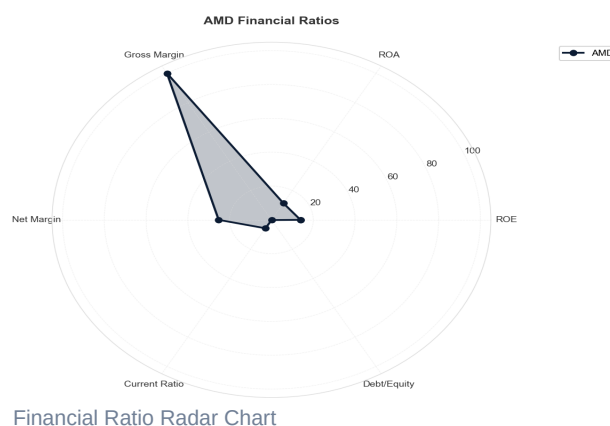
Market Sentiment

Overall market sentiment surrounding AMD has shifted positively, primarily due to upward revisions in analyst price targets and strong expectations for upcoming earnings. However, caution persists amid broader market volatility and concerns about overextension in the semiconductor sector. Investors are advised to monitor AMD closely, as its performance in the upcoming earnings report could serve as a crucial indicator of both its current position and future prospects in a rapidly evolving market landscape.

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Primary Competitors

Advanced Micro Devices (AMD) operates in the highly competitive semiconductor industry, focusing on CPUs and GPUs for consumer, enterprise, and data center applications. Based on the provided financial data, AMD's two primary competitors are Intel Corporation (INTC) and NVIDIA Corporation (NVDA). These firms represent the main competitive threats both in terms of scale and innovation, while also sharing overlapping target markets with AMD.

Intel remains a dominant force in x86 CPUs for both consumer PCs and servers. Although Intel's revenue and EBITDA have shown recent volatility, it continues to maintain significant scale advantages—its EBITDA in 2021 and 2022 (\$33.9B and \$21.3B, respectively) far outpaced AMD's (\$4.2B and \$5.5B). Intel's strategic advantage lies in its deep vertical integration, advanced manufacturing capabilities (historically owning its own fabs), and an extensive installed customer base, which translates into high switching costs for enterprise clients. However, the data reveals a sharp EBITDA decline in 2023 and 2024, suggesting that Intel is currently underperforming relative to its history. This may be due to execution challenges, competitive pressure, or macroeconomic headwinds. That said, Intel's projected EBITDA rebounds in 2025 and 2027, indicating anticipated recovery and continued relevance.

NVIDIA, meanwhile, has solidified its leadership in GPUs and, increasingly, in AI and accelerated computing. While its EBITDA was behind Intel's in 2022 (\$11.4B versus \$21.3B), NVIDIA is projected to show explosive growth, reaching \$86.1B in 2025 and \$382B by 2027—an order of magnitude above both AMD and Intel. NVIDIA's advantage is anchored in its dominant position in data center GPUs, proprietary CUDA software ecosystem, and first-mover advantage in AI hardware. This trajectory signals that NVIDIA is rapidly widening its lead, especially as AI workloads become a primary growth driver in the industry. Its high EV/EBITDA ratios (81.0 in 2023, 43.5 in 2024, and 33.8 in 2025) reflect strong investor confidence in future profitability and growth.

Emerging threats come primarily from the accelerating pace of innovation in AI chips (by both startups and hyperscalers designing custom silicon), as well as potential new entrants leveraging open architectures like RISC-V. However, based on the financial trajectories, none currently match the scale or market impact of the primary incumbents listed above.

Moat Assessment

AMD's competitive moat is multifaceted but somewhat less pronounced than those of its two primary rivals. AMD has benefited from a combination of technological innovation (notably its Zen CPU architecture), increased performance per watt, and aggressive pricing that have steadily eroded Intel's once-formidable dominance in both desktop and server CPUs. The company's contribution margin has improved from 44.9% in 2022 to 49.4% in 2024 and is projected to climb further above 50% by 2026–2027, suggesting strengthening pricing power and operational efficiency.

The nature of AMD's moat is built on intangible assets (IP, engineering talent, and brand reputation), moderate cost advantages (fabless model leveraging TSMC's advanced nodes), and switching costs—particularly in the enterprise/server segment, where software and system integration create some inertia. However, AMD's position is less defensible than NVIDIA's, which enjoys powerful network effects through its CUDA software ecosystem, and less entrenched than Intel's, which still commands significant legacy inertia.

Looking at the durability of AMD's moat, the data suggests it is stable but not rapidly widening. While AMD's revenue and EBITDA are projected to grow at a 20.5% CAGR through 2027, NVIDIA's trajectory is far steeper, and Intel's rebound indicates persistent competition. AMD's improving margins indicate operational execution, but its EV/EBITDA multiple (ranging from 38.3 to 57.1, with a projected 47.8 in 2025) suggests the market assigns a premium for growth, but not as high as NVIDIA's. This reflects both opportunity and risk: AMD's moat is durable due to ongoing innovation and execution, but it faces persistent threats from larger, more deeply entrenched, or faster-growing rivals.

In summary, AMD's competitive moat is founded on continued innovation, cost efficiency, and a growing reputation for performance leadership in several critical segments. However, compared to NVIDIA's widening AI-driven lead and Intel's entrenched customer relationships, AMD's moat remains stable but not unassailable. Its future position will depend on sustaining technological leadership and expanding into high-margin, high-growth markets while fending off both established and emerging threats.

Risk Factors

■ Key Risk Factors Report: Advanced Micro Devices, Inc. (AMD)

■ Risk Factor Breakdown

■ **Market Risks:** AMD faces notable market risk from volatility in customer demand and broader macroeconomic headwinds. The company's revenue growth has demonstrated significant fluctuation, with a sharp 43.6% increase in 2022 followed by a contraction of -3.9% in 2023. This instability suggests that AMD is exposed to cyclical swings in end markets such as PCs, data centers, and gaming, all of which are sensitive to both consumer and enterprise spending cycles. The forecasted rebound to double-digit revenue growth in 2024 and 2025 is predicated on strong end-demand and assumes no significant global economic downturns, an optimistic stance that could expose AMD to downside risk if macro conditions deteriorate. Additionally, as the semiconductor industry is prone to inventory corrections and rapid changes in technology adoption, there is a persistent risk that favorable assumptions about market size and customer needs may not materialize as expected.

■ **Competitive Risks:** The data highlights AMD's ongoing battle with formidable competitors, most notably Intel (INTC) and Nvidia (NVDA). While AMD's EBITDA compares favorably to Intel in the near term, Nvidia's projected EBITDA dwarfs both AMD and Intel by 2025 and beyond, signaling Nvidia's accelerating dominance in key high-growth segments such as AI and data center GPUs. AMD's EV/EBITDA multiples remain elevated relative to Intel, suggesting high investor expectations for margin expansion and revenue growth that may be difficult to meet if competitive pressures intensify. The risk of technological obsolescence is acute: failure to match or surpass Nvidia's innovation cadence—particularly in AI accelerators—could result in rapid market share erosion and pricing pressure, especially if customers view AMD as a secondary supplier.

■ **Operational Risks:** AMD's cost structure and margin dynamics reveal execution risk. Although contribution margins are projected to improve (rising from 44.9% to over 52% by 2027), EBITDA margins remain below those of Nvidia and are only forecast to approach the low 40% range by 2027. The company's cost of

operations and SG&A; expenses are scaling up in absolute terms, which, without corresponding revenue outperformance, could compress profitability. The semiconductor supply chain is notoriously complex and susceptible to disruptions, whether from geopolitical tensions, supplier concentration, or manufacturing bottlenecks. Any failure in supply continuity, quality control, or timely product launches could undermine AMD's ability to capture projected growth.

■ **Financial Risks:** AMD's valuation metrics, such as a price-to-earnings (PE) ratio that exceeds 100x in 2024 and remains above 70x through 2027, signal substantial reliance on future earnings growth to justify current share prices. This exposes the company to significant multiple compression risk if earnings underwhelm or if broader market sentiment shifts. The company's EBITDA, while recovering from a dip in 2023, is still subject to volatility and appears modest compared to Nvidia's explosive growth trajectory. While no explicit debt or liquidity red flags are present in the data provided, the high valuation and dependence on capital markets for favorable terms remain ongoing risks should investor sentiment turn.

■ **Regulatory & ESG Risks:** The semiconductor industry faces increasing regulatory scrutiny globally, particularly regarding export controls, intellectual property, and environmental impact. While specific litigation or environmental liabilities are not detailed in the data, AMD's global operations mean it is exposed to sudden regulatory changes, trade restrictions (notably US-China tensions), and potential reputational risks tied to ESG performance or supply chain sourcing. Any adverse regulatory developments could restrict AMD's access to key markets or increase compliance costs.

■ Summary of Core Risks

■ The most critical risks to AMD's long-term value cluster around competitive, market, and financial domains. First, the competitive threat from Nvidia, whose projected EBITDA and innovation leadership in AI and accelerated computing could marginalize AMD in several high-growth categories, represents an existential risk to the company's revenue and margin expansion assumptions. Second, the volatility in AMD's own revenue growth trajectory, evidenced by the recent contraction and the ambitious rebound forecast, reveals sensitivity to both market cycles and execution. Should end-market demand falter or inventory corrections persist longer than anticipated, revenue and profitability targets may be missed, triggering a reassessment of the company's valuation. Third, AMD's elevated valuation multiples (PE and EV/EBITDA) set a high bar for performance; any disappointment in earnings growth or margin improvement could lead to sharp multiple compression and loss of market capitalization.

■ Mitigating factors include AMD's demonstrated ability to rapidly scale revenue and improve margins, as well as its position as a credible alternative to Intel and Nvidia across several processor markets. However, these strengths may be insufficient to fully offset the risks if the company is unable to sustain technological leadership, manage supply chain complexity, or navigate shifting regulatory landscapes. In sum, AMD's outlook is highly contingent on flawless execution, robust end-market demand, and continued investor confidence—each of which faces meaningful downside risk in the current environment.

Key Takeaways

✓ Revenue Growth:

✓ AMD's revenue growth has been driven by strong demand for its processors and graphics cards, particularly in the gaming and data center segments. The notable spike of 43.6% in 2022 reflects a surge in adoption of high-performance computing solutions amid the ongoing digital transformation across industries. However, the decline to -3.9% in 2023 should be interpreted as a normalization post-pandemic rather than a loss of market position, as growth is expected to rebound to 13.7% in 2024. This resilience indicates a sustainable competitive advantage, allowing AMD to maintain its foothold in a rapidly evolving market.

✓ Gross Profit Margin:

✓ AMD's contribution margin has shown a positive trend, increasing from 44.9% in 2022 to a projected 49.4% in 2024. This improvement can be attributed to operational efficiencies and enhanced pricing power, particularly as AMD continues to innovate and release new products with higher value propositions. The increasing contribution margin suggests a strong competitive moat, which is crucial in the semiconductor industry where margins can be volatile. This strategic positioning could lead to higher profitability and investor confidence in the long term.

✓ SG&A; Expense Margin:

✓ The SG&A; expense margin has increased from 9.9% in 2022 to 10.4% in 2023, reflecting AMD's commitment to scaling its operations efficiently. The anticipated rise to 10.8% in 2024 indicates that while expenses are rising, they are being managed in a way that supports revenue growth. This trend suggests effective management execution and the potential for future scalability as the company continues to expand its market share. For investors, this efficiency can signal a focus on sustainable growth without compromising profitability.

✓ EBITDA Margin Stability:

✓ AMD's EBITDA margins have experienced fluctuations, with a dip to 18.3% in 2023, but are projected to stabilize and improve to 20.4% in 2024. Compared to peers, AMD's EBITDA margin remains competitive, particularly when juxtaposed with Intel's declining margins and NVIDIA's high margins. This relative stability in EBITDA margin indicates that AMD is effectively managing costs relative to revenue, which enhances its valuation attractiveness. Furthermore, the peer comparison highlights AMD's ability to maintain profitability amidst competitive pressures, making it a potentially appealing investment for those seeking exposure in the semiconductor sector.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85

CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72
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